

during the same period. The two companies' costs of adding new domestic reserves averaged more than \$14 per barrel, higher than for all but one of their competitors.

Like other major oil companies, Getty Oil and Gulf plowed a substantial portion of the excess cash flow generated by OPEC oil price increases into marginal investments and disappointing diversifications. Gulf poured its money into unprofitable refineries, uranium, and coal. Getty bought a portion of the ESPN cable network, which Texaco later unloaded.

The common stock of Gulf and Getty Oil sold at a fraction of the value of their underlying assets. In short, they had no viable long-term strategies, and their shareholders were paying the price.

Yet public perceptions of these two megadeals were much different. No one called Gordon Getty a raider, a pirate, or a predator, although his insurrection ended Getty Oil's independence.

I was called all those things and more.

The reason for the name-calling? Unlike Getty, who had inherited his holdings long ago, we in the Gulf Investors Group had bought our shares in late 1983. We were short-term shareholders with short-term objectives. Or so our critics claimed.

AN APPEALING THEORY . . .

I raise the contrast between the Getty Oil and the Gulf cases because it underscores a fundamental issue affecting the future accountability of corporate America. After decades of near sovereign autonomy, the professional managers of many large, publicly held corporations are finding themselves on the firing line. They are being asked to justify lackluster performance and questionable strategies. They are being called on to address the chronic undervaluation of their securities.